

into an IRA. (Transferring to an IRA is also an option if you're laid off.) But there are a few annoying rules regarding how you must handle this. It's important that you tell your old employer that you want a **direct rollover** into your new company's 401(k) or into an IRA.

Although the plan can pay out or "distribute" the money from a 401(k) directly to you, there are several reasons to avoid this method. If you are paid the money directly, the plan must withhold 20% of the amount you are due and send it to the IRS (which will hold on to it until you file your taxes for that year). You are then responsible for replacing that 20% from your other savings when you make the transfer into your new plan. If you can't come up with the money in 60 days, you'll have to pay tax on that 20%, plus a penalty. (I told you these rules are annoying.)

If your account is over \$5,000, another option is to leave your 401(k) money with your old company. Once you leave a company, you're no longer eligible to contribute to its 401(k), but your account will continue to grow if your investments do well. If you like the investment options at your old company's 401(k) better than the ones in your new company's plan, this may be a good option for you.

No matter what you do, resist the temptation to simply cash in your 401(k). About half of all people do this when they change jobs, but that's a terrible idea. You will have to pay tax on the money, plus the 10% penalty.

Q: What happens if I have an outstanding loan against my 401(k), and I quit or I'm fired?

A: This is a situation you should try to avoid. Most companies will ask you to pay the entire loan back in one lump sum when you leave the firm. If you can't, the amount you owe may be treated as money withdrawn (instead of borrowed) from the plan, and you may therefore owe taxes plus the 10% penalty. Another reason to avoid borrowing from your 401(k) if at all possible.

Q: What's a Roth 401(k)?

A: Some companies are starting to offer another type of retirement savings plan that you'll want to know about: a sort of hybrid between an IRA and a 401(k) The **Roth 401(k)** provides the automatic tax-free